

FUND MANDATE - AMERICAN INNOVATION GROWTH FUND

Fund Name: American Innovation Growth Fund

Target Fund Size: USD 1.5 Billion

Geographical Focus / Country: Primary investments will be made in US

Sector Focus: Technology is the focused sector

Industry: Software & IT Services are preferred

MANDATORY CRITERIA:

- Annual Recurring Revenue (ARR): > \$35M USD
- EBITDA Margin: <15%
- Gross Profit Margin: > 65% (particularly for SaaS businesses)
- Net Profit: Preferably positive (not compulsory)
- Return on Equity (ROE): >18% (indicator of quality)
- Debt-to-Equity Ratio: < 0.4
- Price-to-Earnings (P/E) Ratio: > 45 (adjusted for growth)
- Price-to-Book (P/B) Ratio: < 12
- Market Capitalization: > \$600M USD (suitable for institutional investors)
- Dividend Yield: Not a requirement (focus on growth)

RISK CONSIDERATIONS:

- **Market Position:** Target companies exhibiting dominant or strong market presence within their niche
- **Governance Standards:** Insist on high standards of governance and full transparency; exclude entities with weak governance frameworks
- **Customer Concentration:** Favor companies with a broad and diversified client portfolio; avoid those heavily reliant on a few customers

- **Vendor/Platform Reliance:** Evaluate dependencies on third-party cloud services or single vendor platforms carefully
- **Regulatory & Legal Exposure:** Analyze risks related to data protection laws, antitrust issues, and regulatory compliance
- **Business Model Complexity:** Review the intricacies of SaaS, hybrid, or multi-platform models; steer clear of entities with overly complicated structures